

Olabowale Olufiade

Prof. Ghazal Bayanpourtherani

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Economic Impact of the COVID-19 Pandemic on Small Businesses

Abstract

With an aim to examine the economic effect of the shift to remote jobs on small businesses before, during, and after the COVID-19 pandemic, the goal of this research is to investigate how this shift affected the profitability and revenue of small businesses during and post-pandemic. In 2020, the COVID-19 pandemic dramatically shifted the U.S. economic landscape, forcing many small businesses to close while others thrived due to a rapid transition to remote work. A data analysis from the Pew Research Center was utilized to understand and differentiate the statistics of workers that switched to remote from October 2020 to January 2022 and Alexander W. Bartik's "The Impact of COVID-19 on Small Business Outcomes and Expectations" was used to explore how small businesses were impacted during the pandemic, offering nuanced insights into their challenges and responses. A trend analysis from Moody Analytics was also used to observe the trend of the profitability of small business before the pandemic to provide additional context for understanding their financial health. This research concludes that the economic effect of the COVID-19 pandemic on small businesses, which saw some thrive due to adaptability and remote work capabilities while others did not, underscores the disparities in business resilience and the urgent need for strategic adaptation in the face of such crises. Further research should be conducted on how small businesses are preparing for

potential pandemics, particularly in terms of operational flexibility, financial buffering, and strategic planning.

The coronavirus disease 2019 (COVID-19) has undeniably reshaped the global economic landscape, bringing unprecedented challenges, especially to the small business sector in the United States. As the pandemic unfolded, its immediate effects on small businesses were profound, marked by widespread closures and massive layoffs. A pivotal study conducted between March 28 and April 4, 2020, surveyed over 5,800 small businesses, revealing critical insights into their struggles during the early stages of the crisis. The survey highlighted the financial fragility of these enterprises, with many having only a couple of weeks' worth of cash reserves, and underscored the varied expectations of business owners regarding the duration of the pandemic's disruptions (Bartik 1). This paper seeks to delve deeper into these impacts, examining how the shift to remote work has influenced small business operations in terms of profitability and revenue before, during, and after the pandemic. The profound shift to remote work triggered by the COVID-19 pandemic has left a lasting imprint on the American workforce, reshaping the way individuals engage with employment opportunities and causing significant changes in the economic landscape, which this research aims to analyze comprehensively.

For a bit of background context, it's essential to understand the nature of small businesses and their significance in the economy, particularly in contrast to larger corporations. Small businesses are typically characterized by their size, often employing fewer than 500 people, and play a crucial role in driving innovation, creating jobs, and fostering economic growth. Unlike their larger counterparts, small businesses often operate on narrower profit margins and may lack the resources and resilience to weather significant economic shocks. The emergence of the COVID-19 pandemic in late 2019 marked a turning point in global history. Originating in Wuhan, China, the virus quickly spread across borders, triggering a worldwide health crisis. The response to the pandemic involved unprecedented measures such as lockdowns, social

distancing, and travel restrictions, aimed at containing the spread of the virus and protecting public health. These measures had profound implications for businesses of all sizes, including small enterprises. In the United States, the impact of COVID-19 on small businesses was particularly pronounced. Many were forced to shutter their doors permanently, while others grappled with the challenges of adapting to new health and safety protocols, shifting consumer behaviors, and economic uncertainty. Throughout this presentation, we will explore how the COVID-19 pandemic has affected small businesses' revenue, profitability, and overall viability. By examining the context in which these businesses operate, we can gain valuable insights into the challenges they faced before, during, and after the pandemic. The timeline of our research spans from 2018 to 2022, allowing us to assess the evolving landscape of small businesses and the profound impact of the COVID-19 pandemic on their operations.

Small Business Economy Before the COVID-19 Pandemic

Before the pandemic, the health of small businesses was influenced by various factors, including profitability, liquidity, and leverage. According to the “pre-COVID-19 Health of Small Businesses” report, profitability served as a crucial indicator of business financial health, with profitable businesses demonstrating greater resilience and stability (Korablev). The report analyzed companies that had been profitable for two consecutive years, using indicators such as access to cash and leverage ratios (Korablev). *Figure 1* from the report illustrates the trend in profitability across different business-size categories, highlighting the importance of financial health for small businesses before the onset of the crisis.

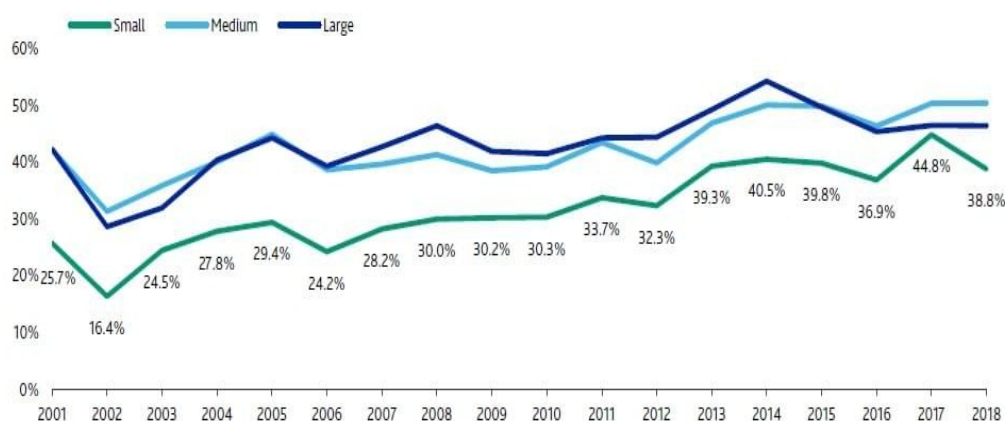


Figure 1: Percent of profitable small businesses across different business size categories.

During the crisis periods induced by the COVID-19 pandemic, small businesses experienced significant disruptions in their financial health (Korablev). *Figure 2* from the “pre-COVID-19 Health of Small Businesses” report then analyzes the percentage of profitable firms with limited cash and high leverage, providing insights into how the financial health of small businesses will endure during the crisis.



Figure 2: Percent of profitable firms with limited cash by business size- Moody Analytics



Figure 2.5: Percent of profitable firms with high leverage by business size – Moody Analytics

Furthermore, the report offers sector-specific insights into small businesses, highlighting industries that are particularly vulnerable to economic downturns. Sectors such as manufacturing, hospitality, and retail face unique challenges, including supply chain disruptions, reduced consumer demand, and increased credit risk. For instance, manufacturing businesses experienced significant working capital needs during previous crisis periods, leading to heightened credit risk and financial distress. Similarly, the hospitality and retail sectors witnessed fluctuations in profitability and liquidity, with small businesses grappling with cash constraints and escalating leverage. The pre-COVID-19 landscape of small businesses reflected a mix of financial resilience and vulnerability, with profitability, liquidity, and leverage serving as critical determinants of business survival. The insights gleaned from historical crisis periods underscore the importance of proactive measures to bolster small business resilience and mitigate the adverse impacts of economic disruptions. As the global economy continues to grapple with the ramifications of the COVID-19 pandemic, addressing the financial needs of small businesses becomes imperative to safeguarding the broader economic ecosystem.

Small Business Economy During the COVID-19 Pandemic

The arrival of the pandemic virus had an impact on the economy and health of the well-being of people and their jobs in the United States. The survey conducted by Bartik et al. sheds light on the profound impact of the COVID-19 pandemic on small businesses in the United States. The study surveyed over 5,800 small businesses between March 28 and April 4, 2020, revealing several key themes.

First, it became evident that the pandemic caused significant disruptions within a short period. A staggering 43% of businesses had temporarily closed, primarily due to the pandemic's effects. Reductions in demand and employee health concerns were cited as the primary reasons for the closure, with supply chain disruptions playing a lesser role (Bartik). The survey also revealed an average reduction of 39% in active employment since January, with particularly acute declines in regions like the Mid-Atlantic, where closures reached 54% and employment dropped by 47%. Financial fragility emerged as another major concern, with the median business with monthly expenses over \$10,000 having only about two weeks' worth of cash on hand. Three-quarters of respondents had cash reserves to last two months or less, underscoring the precarious financial situation faced by many small businesses. Notably, businesses with more cash on hand expressed greater optimism about remaining open by the year's end. The survey delved into businesses' expectations about the duration of the crisis. While the median business owner anticipated the disruptions to extend into midsummer, there was wide variation in these expectations. This discrepancy in outlooks suggests potential forecasting errors among firms, highlighting the challenges in navigating the uncertain economic landscape.

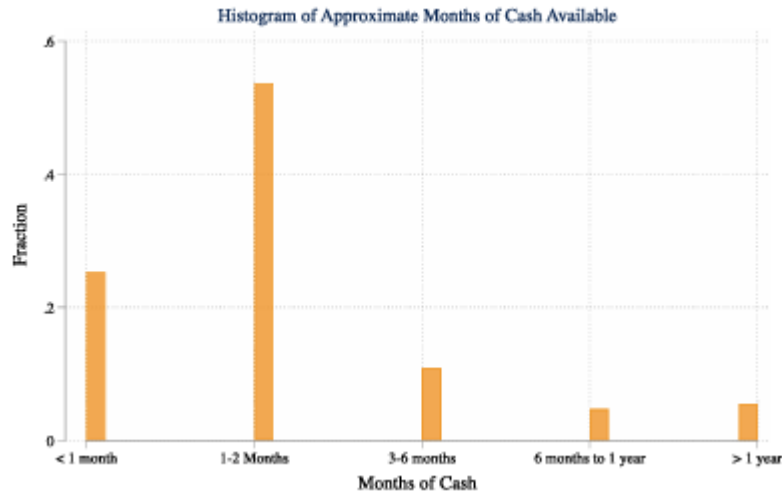


Figure 3: Depicts the distribution of months of cash available as a multiple of January 2020 expenses.

Lastly, the survey explored businesses' responses to government relief programs, particularly the Coronavirus Aid, Relief, and Economic Security (CARES) Act. This act was enacted in March 2020 as a federal response to the economic devastation caused by the COVID-19 pandemic. This legislation included several provisions aimed specifically at assisting small businesses, most notably through the Paycheck Protection Program (PPP) and the Economic Injury Disaster Loan (EIDL) program. These programs provided critical financial support to help businesses keep their workforce employed, manage cash flows, and cover operational expenses at a time when many were seeing dramatic declines in revenue. While the majority planned to seek funding through the CARES Act, concerns about bureaucratic hurdles and challenges of eligibility grew large. Experimental variations assessed take-up rates and business resilience effects for loans versus grants-based programs. Bartik's survey offers valuable insights into the economic fallout of the COVID-19 pandemic on small businesses. The findings underscore the urgent need for targeted policy interventions to support the resilience and survival of small businesses in the face of unprecedented challenges (Bartik).

Transitioning to remote work was a pivotal adjustment for many small businesses amidst the COVID-19 pandemic. As lockdown measures were imposed and social distancing became the norm, firms across various industries had to rapidly adapt their operations to sustain continuity. The shift to remote work not only posed logistical challenges but also prompted businesses to reassess their technological infrastructure and communication strategies. In this context, the ability to pivot swiftly and effectively embrace remote work emerged as a crucial factor in determining a business's resilience during these unprecedented times. Moreover, the experience of transitioning to remote work highlighted the importance of flexibility and innovation in navigating crises, underscoring the need for agile business models capable of adapting to evolving circumstances. This transition not only reshaped the way small businesses operated but also catalyzed broader discussions about the future of work and the role of technology in fostering resilience and sustainability.

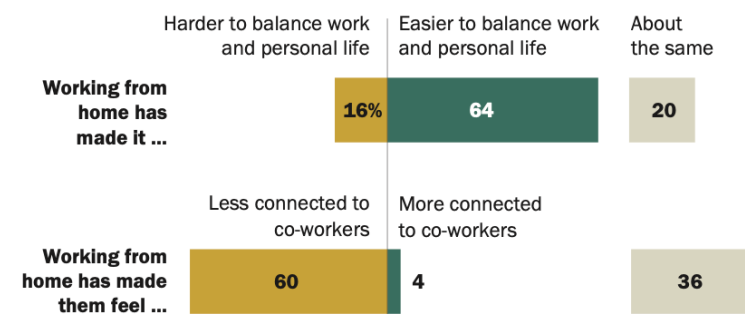
The COVID-19 pandemic has changed the U.S. economy in various ways, reshaping the landscape of work in America with significant shifts in remote jobs. According to recent data from the Pew Research Center, about 59% of employed workers in the United States whose jobs can be done from home are now opting to do their work from home, making in-person workplaces in job offices more available. Even though remote jobs initially started with the lockdowns of in-person jobs, the reasonings started to evolve with another form of why people choose to stay at home which is due to the basic fact that they would just rather. In fact, 61% of workers with access to their workplaces now choose to work remotely by choice, compared to 38% whose reasons were workplace closures. Moreover, preferences for remote work have strengthened over time, with 60% of workers expressing a desire to continue working remotely even after the pandemic ends, up from 54% in 2020. Pew Research Center further explained that

Remote work is a new experience for the majority of employees whose roles allow for such flexibility, with 57% indicating that they rarely or never worked remotely before the onset of the coronavirus pandemic. For those who did transition to telecommuting, significant changes began to occur in their professional lives.

On a positive note, a significant majority (64%) of individuals who now work remotely at least occasionally but had little to no prior experience with it before the pandemic, report that it has become easier to balance between their professional responsibilities and personal life (Parker). Additionally, a substantial portion (44%) find that remote work has facilitated their ability to accomplish tasks and meet deadlines, while only a minority (10%) perceive it as more challenging. However, there is a prevailing sentiment of decreased connection with colleagues among remote workers, with 60% expressing feeling less connected to their coworkers. Despite these shifts, the majority (72%) assert that remote work has not impacted their prospects for career advancement.

For workers who've made the switch to teleworking, most have found more balance but less connection with co-workers

Among employed adults who rarely or never worked from home before COVID-19 and are working from home at least some of the time now, % saying ...



Note: Based on those who say, for the most part, the responsibilities of their job can be done from home. Share of respondents who didn't offer an answer not shown.

Source: Survey of U.S. adults conducted Jan. 24-30, 2022.

"COVID-19 Pandemic Continues To Reshape Work in America"

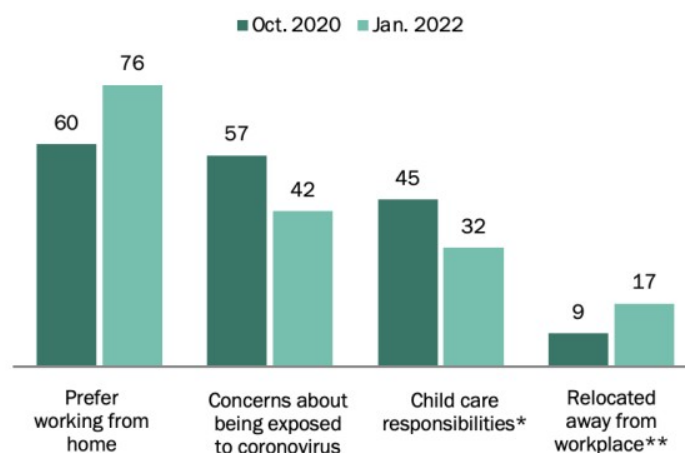
PEW RESEARCH CENTER

Figure 4: Pew Research Center

The transition to remote work has been a pivotal adjustment for many small businesses amidst the COVID-19 pandemic. As lockdown measures were imposed and social distancing became the norm, firms across various industries had to rapidly adapt their operations to sustain continuity. However, beyond the initial necessity imposed by lockdowns, a significant portion of workers are now opting for remote work by choice, according to recent data from the Pew Research Center. The study reveals evolving preferences and motivations behind the surge in remote work, shedding light on its nuanced impact on workforce dynamics and corporate culture (Parker). The Pew Research Center's findings indicate a notable shift in the reasons behind workers' decisions to telework. Compared to 2020, fewer workers now cite concerns about coronavirus exposure as a major reason for working from home. Instead, a growing proportion indicates a preference for remote work, with 76% of workers stating that they telework primarily because they prefer it (Parker). This marks a significant increase from 2020, where only 60% cited preference as a major reason. For those new to working from home, the pandemic-related shift to telework has brought both positive and negative changes. While 64% of workers report that remote work has made it easier to balance work and personal life,

Fewer workers now say they're working from home because of concerns about coronavirus exposure, compared with 2020

*Among employed adults whose workplace is currently open, % saying each is a **major reason** why they are working from home all or most of time*



*Among those with children younger than 18.

**Either permanently or temporarily

Note: Based on those who say the responsibilities of their job can mostly be done from home.

Source: Survey of U.S. adults conducted Jan. 24-30, 2022.

"COVID-19 Pandemic Continues To Reshape Work in America"

PEW RESEARCH CENTER

Figure 5: Pew Research Center

there is a prevailing sentiment of decreased connection with colleagues, with 60% expressing feeling less connected to their co-workers. Additionally, assessments of productivity vary, with 44% of workers stating that remote work has facilitated their ability to accomplish tasks and meet deadlines, while 46% report no significant change.

The COVID-19 pandemic has undeniably reshaped the U.S. economy, particularly in the realm of work dynamics, with a notable surge in remote jobs. The transition to remote work has been a pivotal adjustment for many small businesses amidst the COVID-19 pandemic. As lockdown measures were imposed and social distancing became the norm, firms across various industries had to rapidly adapt their operations to sustain continuity. However, beyond the initial necessity imposed by lockdowns, recent data from the Pew Research Center indicates a significant shift in the reasons behind workers' decisions to telework. Compared to 2020, fewer workers now cite concerns about coronavirus exposure as a major reason for working from home. Instead, a growing proportion indicates a preference for remote work, with 76% of workers stating that they telework primarily because they prefer it. This marks a significant increase from 2020, where only 60% cited preference as a major reason.

Furthermore, the Pew Research Center's findings underscore the nuanced impact of remote work on workforce dynamics and corporate culture. While remote work has brought about improved work-life balance for many, there is also a prevailing sentiment of decreased connection with colleagues, with 60% expressing feeling less connected to their co-workers. Additionally, assessments of productivity vary among workers, highlighting the need for further exploration into the long-term implications of remote work on business operations and employee well-being. The data presented underscores the importance of a comprehensive understanding of the evolving economic landscape post-pandemic. As remote work continues to gain traction and

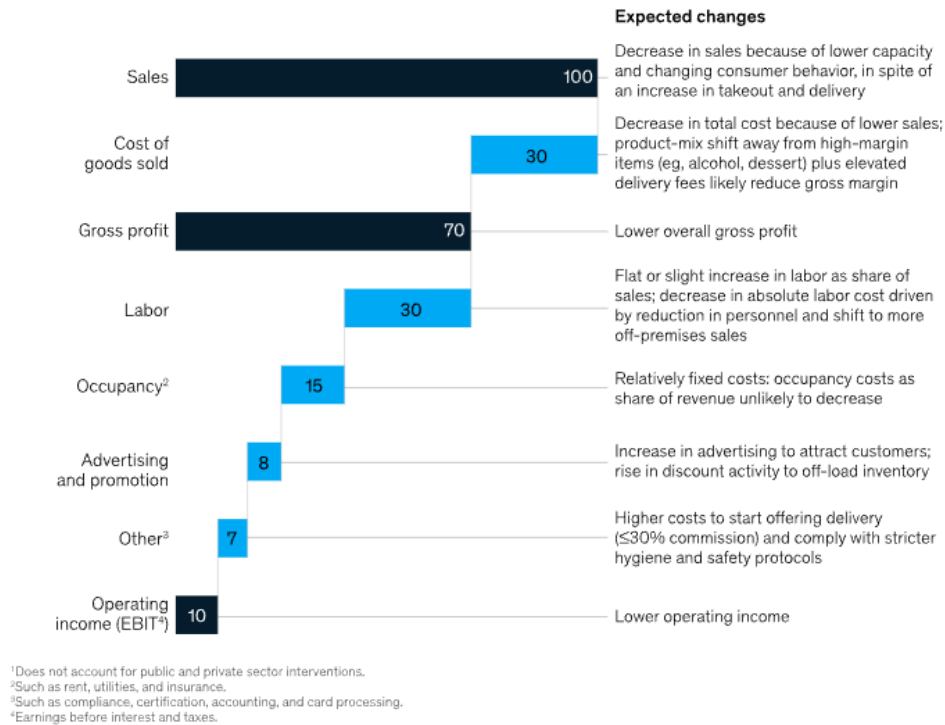
industries adapt to new realities, businesses, policymakers, and individuals alike must navigate these changes strategically to ensure long-term resilience and prosperity in the U.S. economy.

Small Business Economy After the COVID-19 Pandemic

As the small business world navigates the aftermath of the COVID-19 pandemic, it's like they're emerging from a storm facing new challenges and changes. This section of this paper looks into how small businesses are doing financially in the post-pandemic economy. Small businesses were grappling with significant financial challenges, particularly in terms of revenue and profitability. Small manufacturers, for instance, face considerable pressure as their working capital tied up in inventory typically amounts to about 20% of sales (Dua). Coupled with high levels of indebtedness, the cost of servicing their debt averages around 30% of revenue, significantly higher than more financially resilient sectors. It's anticipated that the sector could take longer than five years to recover to pre-crisis GDP levels, depending on the lingering economic impact of the pandemic. Small restaurants, too, are confronted with margin challenges exacerbated by a shift to more off-premises models, such as delivery or carryout, which increase packaging costs and hinder their ability to sell high-margin items like alcohol and desserts. The pandemic has exposed vulnerabilities in many small businesses, with nearly 40% of restaurants operating at a loss or barely breaking even before the crisis hit. These financial strains are further compounded by the added costs of complying with new hygiene and safety protocols, which could prove burdensome, particularly for smaller establishments that lack the bargaining power for bulk-purchasing discounts.

For small restaurants, the costs of adjusting to changed customer behaviors would take a big hit on a relatively slim operating margin.

Illustrative profit-and-loss statement of independent restaurant with <50 employees, \$ (indexed to \$100 before COVID-19 crisis)



McKinsey
& Company

Figure 6: McKinsey & Company Chart of the post-pandemic crisis on Small Businesses

Highlighted in Figure 7 from the McKinsey & Company publishing article, the costs of adjusting to these shifts could indeed take a significant toll on already narrow operating margins. With consumer preferences shifting towards off-premises dining options such as delivery or carryout, restaurants are grappling with the need to invest in additional packaging materials, delivery services, and technology infrastructure to facilitate online ordering and payment systems. These investments come at a cost, further squeezing the profitability of small eateries that typically operate on razor-thin margins. The shift towards off-premises dining hinder the ability of restaurants to upsell high-margin items, such as beverages and desserts, which are more

commonly consumed in the traditional dine-in setting. Additionally, the increased reliance on delivery services often entails hefty commissions and fees, further eating into already slim profit margins. Furthermore, many small restaurants were already operating on the brink of profitability before the pandemic, with a significant proportion barely breaking even or operating at a loss.

As small restaurants navigate the challenges posed by changing consumer behaviors, they must also contend with heightened expectations regarding hygiene and safety. The costs associated with implementing stringent cleaning protocols, purchasing personal protective equipment for staff, and ensuring compliance with social distancing guidelines can quickly add up, exacerbating financial strain. The shift towards off-premises dining and the need to adapt to evolving consumer preferences present formidable challenges for small restaurants. While larger chains may have the financial resources and operational capacity to weather these changes, smaller establishments with slimmer profit margins found themselves disproportionately impacted. While restaurants struggle financially with the shift to off-premises models like delivery, other businesses have seen increased sales by offering hygiene products and related services. This contrast highlights the diverse impact of the pandemic on small businesses.

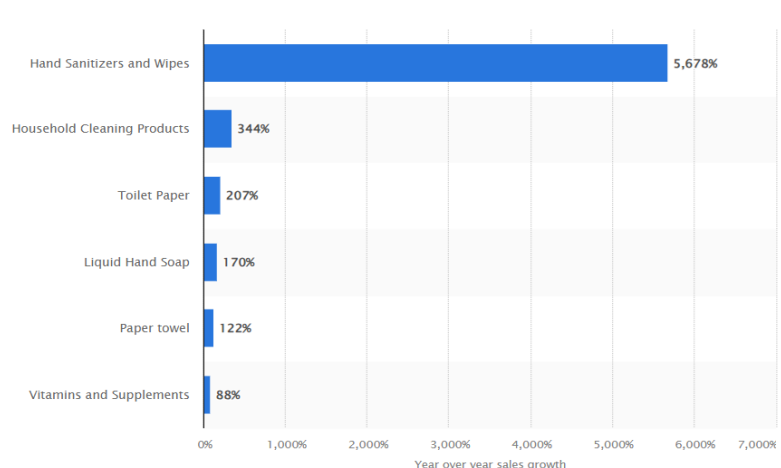


Figure 7: Online Sales growth of health and hygiene products as of March 2020

Final Analysis and Conclusion

In examining the small business landscape before, during, and after the COVID-19 pandemic, it becomes evident that the crisis has had varied impacts, leading some businesses to thrive while others struggle to survive. Before the pandemic, small businesses operated in an environment characterized by a mix of financial resilience and vulnerability. Profitability, liquidity, and leverage served as critical determinants of business survival, with profitable businesses demonstrating greater stability. According to data from the Small Business Administration, small businesses collectively generated approximately \$5.9 trillion in revenue in 2019, with an average profit margin of 6.2%. The onset of the pandemic brought unprecedented challenges, with widespread closures, layoffs, and disruptions to supply chains. Small businesses faced acute financial fragility, with many having only a couple of weeks' worth of cash reserves. During the peak of the pandemic in 2020, small business revenue plummeted by an estimated 32%, resulting in significant profit losses across various sectors. The transition to remote work, while initially a necessity, has evolved into a preference for many workers, reshaping workforce dynamics and corporate culture. Throughout the crisis, small businesses have displayed remarkable resilience and adaptability, leveraged government relief programs, and embraced remote work to sustain operations.

However, challenges persist in the post-pandemic economy, particularly for sectors like manufacturing and hospitality. Small manufacturers faced significant pressures due to high levels of indebtedness and working capital tied up in inventory. Restaurants, too, confront margin challenges exacerbated by a shift towards off-premises dining options. Compliance with new hygiene and safety protocols adds further financial strain, particularly for smaller establishments

operating on narrow margins. While some small businesses have thrived amidst the crisis, others continue to face formidable challenges in the post-pandemic landscape.

The COVID-19 pandemic has underscored the resilience and adaptability of small businesses in the face of unprecedented challenges. As the small business sector navigates the aftermath of the crisis, it is imperative to recognize the nuanced impacts on different industries and business models. While some businesses have thrived amidst the crisis, others continue to grapple with financial strain and uncertainty. Moving forward, further research should be conducted on how small businesses are preparing for potential pandemics, particularly in terms of operational flexibility, financial buffering, and strategic planning. As remote work becomes increasingly prevalent and consumer preferences evolve, small businesses must continue to innovate and adapt to new realities. Targeted policy interventions and strategic investments will be essential to support the resilience and survival of small businesses in the post-pandemic economy. By fostering collaboration between businesses, policymakers, and stakeholders, we can ensure a more equitable and sustainable economic recovery that benefits all members of society.

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